through prospectus amendments or supplements that would be sent or given per current practice to investors that hold fund shares (before the fund relies on proposed rule 498B), or via notices of material changes that proposed rule 498B would require (after the fund relies on proposed rule 498B). We believe that the definition's requirement that the shareholder continuously hold the fund shares is necessary because, if the investor purchased fund shares and then subsequently sold these shares, that investor would not receive notification of material fund changes that occurred when he or she did not hold fund shares. In this case, we believe it would be appropriate for such an investor to once again receive a fund prospectus before falling under a disclosure framework that provides information tailored to continuously existing investors.

For purposes of the proposed rule 498B, an "existing shareholder" of a money market fund also would generally be a shareholder to whom a summary or statutory fund prospectus was sent or given to satisfy any obligation under section 5(b)(2) of the Securities Act. However, the requirement that the shareholder must have continuously held fund shares since that time would differ under the proposed rule with respect to shareholders in a money market fund. This difference would recognize the manner in which money market funds are used by investors and practices that we understand are generally common with money market funds. Money market funds are often used as cash vehicles with frequent withdrawals and deposits, and thus a money market fund investor who has sold all shares may often purchase additional shares shortly thereafter. For this reason, we understand that money market funds generally send or give prospectus supplements and amendments to former shareholders who maintain accounts in those funds. Similarly, we understand that money market funds generally apply the same treatment to beneficial owners of such accounts opened through financial

intermediaries, such as brokerage clients who have their cash deposited in a money market fund sweep account maintained in the name of the broker but for which the brokerage client is a beneficial owner. Therefore the definition of "existing shareholder" would also include a shareholder in a money market fund who has continuously maintained (or been a beneficial owner of) an account with that fund because a fund prospectus has been sent or given to that shareholder.[489]

Scope Excludes Variable Annuity and Variable Life Insurance Contracts

Proposed rule 498B would be available only with respect to funds registered on Form N-1A.[490] Proposed rule 498B would not apply to investors that hold the fund through a separate account funding a variable annuity contract offered on Form N-4 or a variable life insurance contract offered on Form N-6.[491] The Commission recently adopted rule 498A, which provides that prospectus delivery requirements under section 5(b)(2) of the Securities Act are satisfied with respect to those investors if the fund's current prospectuses and certain other documents appear online and certain other conditions are met.[492] Rule 498A, like the disclosure framework for funds that we are proposing, relies on a layered disclosure approach that tailors the disclosure that investors receive to the informational needs of both new and

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489 *See* proposed rule 498B(a)(2). The proposed rule would further define "account" as any contractual or other business relationship between a person and a fund to effect transactions in securities issued by the fund, including the purchase or sale of securities.

490 *See* proposed rule 498B(a)(2) and (3).

491 *See* proposed rule 498B(a)(2); *see also generally* Form N-4 [17 CFR 239.17b and 274.11c] and Form N-6 [17 CFR 239.17c and 274.11d].

492 *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27 (adopting rule 498A under the Securities Act); rule 498A(j) (providing a new option to satisfy prospectus delivery requirements for mutual funds available through separate accounts funding a variable contract).

ongoing investors in variable contracts. The conditions associated with the satisfaction of prospectus delivery requirements pursuant to rule 498A are tailored to the unique nature of variable annuity and variable life insurance contracts, and provide disclosures and protections that we believe are more appropriate for investors in those contracts (compared to disclosures and protections associated with the satisfaction of prospectus delivery requirements pursuant to proposed rule 498B).[493] Accordingly, we are not proposing to make proposed rule 498B available for those products.

We seek comment on the scope of our proposed new rule 498B and specifically on the following issues:

181. Is the way that the proposed new rule would address existing fund shareholders' continued receipt of annual prospectus updates appropriate, in light of the other aspects of the rules and rule amendments we are proposing? Would existing shareholders be receiving the right set of information under the proposal, and would such information be delivered or made available in an appropriate manner?

182. Should we make proposed rule 498B mandatory for all funds (instead of a permissive rule, as proposed)? If so, why? Would a permissive rule result in confusion for fund shareholders (because existing shareholders in funds that choose not to rely on the rule would continue to receive annual prospectus updates year over year), or produce any other

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[493] For example, rule 498A permits prospectus delivery requirements for funds serving as underlying investment options under a variable contract to be satisfied if, among other things, an initial summary prospectus is used that provides investors with certain key summary information about those funds. *See* rule 498A(j)(1)(i). This condition is designed to further the use of initial summary prospectuses for variable contracts, and is tailored to enhance the ability of variable contract investors to make informed investment decisions regarding how to allocate their investments in the variable contract. *See* Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27, at Section II.B.2.

detrimental effects? What would be funds' primary considerations in determining whether to rely on proposed rule 498B?

183. Would the proposed rule's layered disclosure approach adequately protect existing shareholders who have no or limited internet access or who prefer not to receive information about their investments over the internet?

184. Should we modify the proposed scope of the rule in any way? For example, should the scope be extended to include new investors, or investors that hold the fund through a separate account funding a variable insurance contract? Why or why not?

185. Is the definition for "existing shareholder" under the proposed rule appropriate? If not, how should we revise this definition? Is it appropriate that, as proposed, the definition of "existing shareholder" includes a shareholder in a money market fund who has continuously maintained (or been a beneficial owner of) an account with that fund because a fund prospectus has been sent or given to that shareholder? Do commenters agree that money market funds generally continue to send or give prospectus supplements to former shareholders, so long as those shareholders maintain (or are beneficial owners of) an account with the money market fund? Are there any general limitations on this industry practice or other limitations that we should add with regard to this provision in the proposed rule? Should the proposed definition of "existing shareholder" also include specific provisions for certain types of funds other than money market funds, and if so, what types of funds, and what should these provisions be, and why? For example, should the rule generally reference funds used for cash management purposes, as opposed to (or in addition to) simply referencing money market funds?

186. Proposed rule 498B's layered disclosure framework for existing shareholders would only apply to open-end management investment companies. To what extent, if any, should we extend this aspect of our proposal to other types of investment companies? If we were to do this, should we modify any of the conditions to rely on proposed rule 498B, and if so, how? For example, proposed rule 498B is designed to work in conjunction with our proposed amendments to funds' shareholder reports. How should we modify the rule to apply in contexts where other types of investment companies (for example, registered closed-end funds and BDCs, and ETFs that are organized as unit investment trusts) have different shareholder report requirements than those we propose for open-end management investment companies? Please address the utility and policy implications of implementing a layered disclosure framework for existing shareholders, similar to that which proposed rule 498B would create, in the context of other types of investment companies.

187. If we were to adopt proposed rule 498B, how should we evaluate the effectiveness of the new framework? What methods or approaches should we use to evaluate it, and what areas of the new framework should we focus on in any such review?

3. Conditions to Rely Upon Proposed New Rule 498B

A fund would have to satisfy certain conditions in order to rely on the proposed new layered disclosure framework for existing shareholders, as outlined below. Failure to satisfy any of these conditions would mean that the fund could not rely on proposed rule 498B to satisfy prospectus delivery obligations to existing shareholders.

a. Website Availability of Certain Fund Documents

To rely on rule 498B, a fund would have to make certain materials publicly accessible, free of charge, at the website address specified on the cover page or at the beginning of the

fund's annual and semi-annual reports.[494] These materials would include: the fund's current summary and statutory prospectus, SAI, and most recent annual and semi-annual shareholder reports (collectively, the "rule 498B online fund documents").[495] This set of documents would be identical to the set of documents that are publicly accessible online for funds currently relying on rule 498. This proposed condition is designed to implement the contemplated layered disclosure approach by ensuring that current versions of the fund's summary prospectus, statutory prospectus, and SAI would be available online so that existing shareholders who did not receive those documents would have ready access to them in a convenient, centralized location, together with other relevant documents for existing shareholders such as the most recent annual and semi-annual shareholder reports.

The reference to "current" versions is designed to ensure that amendments or supplements to those documents are included in the rule 498B online fund documents as a condition of reliance on proposed rule 498B. Because funds generally continuously offer and sell shares, funds effectively must continuously maintain a current prospectus to satisfy their ongoing obligations to deliver the fund's prospectus to new investors.[496] Thus, a fund relying

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494 *See* proposed rule 498B(c)(1); *see also* proposed rule 498(e) (providing requirements regarding website availability of certain fund documents).

495 The rule 498B online fund documents would not include information required to be filed on Form N-CSR and made available online on a semi-annual basis, as discussed above. *See supra* Section II.D.2. However, this and other information (including information provided in Form N-CSR) that the proposed amendments to rule 30e-1 would require a fund to make available online would have to be made available at the same website address where the rule 498B online fund documents would appear (*e.g.,* the website specified on the cover page or at the beginning of the fund's annual and semi-annual shareholder reports). *See supra* footnote 464 and accompanying text.

496 *See generally supra* footnotes 11 through 13.

on proposed rule 498B would be required to maintain current versions of the rule 498B online fund documents so long as the fund is engaged in a continuous offering. Proposed rule 498B would not specify a time frame for maintaining current versions of these documents online, but when the document is no longer "current," a fund would have to replace it with the current version.[497]

Under the proposal, a fund would be required to include a summary prospectus as one of the rule 498B online fund documents.[498] While funds' use of a summary prospectus is optional under rule 498, we estimate that currently 93% of all funds use a summary prospectus.[499] Without requiring a summary prospectus, proposed rule 498B's new layered disclosure framework for existing shareholders could result in funds having less incentive to use a summary prospectus.[500] We believe it is important to make available both a summary prospectus and the statutory prospectus to continue the current approach for funds, which

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497 *But see* rule 498(e) (specifying the time frame for posting current versions of the documents it requires to appear online (*i.e.,* on or before the time that the summary prospectus is sent or given and until 90 days after the date the fund security is carried or delivered (in the case of reliance on rule 498(c)) or the date that the communication is sent or given (in the case of reliance on rule 498(d))).

498 The proposed rule specifies that the current summary prospectus that the fund makes available online must comply with the requirements described in rule 498(b). *See* proposed rule 498B(a)(7).

499 *See supra* footnote 82.

500 For example, the option that proposed rule 498B would provide would reduce—or possibly fully eliminate—the cost savings currently associated with printing and mailing a summary prospectus as opposed to the statutory prospectus, because those summary prospectuses would be made available online instead of being printed and mailed. *See also* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at nn.400 and 401 (discussing the cost savings associated with printing and mailing a mutual fund summary prospectus).

gives investors the option to choose the amount and type of information to review.[501] To the extent that existing shareholders might find it useful to review a fund prospectus (for example, in connection with a prospective additional investment in the fund), this condition would continue to make summary information about the fund available online, which we believe investors may be more likely to use and understand than the lengthier statutory prospectus.[502]

Although funds would be required to prepare a summary prospectus to comply with the conditions of rule 498B, a statutory prospectus could still be used to satisfy prospectus delivery obligations under section 5(b)(2) of the Securities Act. We understand that some funds that prepare summary prospectuses still choose to deliver a statutory prospectus under certain circumstances. For example, we understand that certain funds that prepare summary prospectuses still choose to send or give a statutory prospectus when investors are invested in multiple series covered by a single statutory prospectus. Likewise, certain funds may choose to send or give a statutory prospectus for certain product lines where the fund believes it would be helpful for investors to see the full suite of fund options (*e.g.*, target date funds,

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501 The layered disclosure framework represented by the summary prospectus was designed to provide investors with "ready access to the information that investors need, want, and choose to review in connection with a mutual fund purchase decision." *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at Section III.B.1. In adopting the summary prospectus framework, the Commission stated: "we believe that the new rule will result in funds providing investors with more useable information than they receive today in a format that investors are more likely to use and understand." *Id.*

Further, commenters have expressed an overall preference for concise, layered summary disclosure. *See supra* footnotes 27 through 30 and accompanying text.

502 *See* 2009 Summary Prospectus Adopting Release, *supra* footnote 10, at paragraph accompanying n.195; Variable Contract Summary Prospectus Adopting Release, *supra* footnote 27, at text accompanying and following n.1038.

sector funds, or target risk funds), to the extent that multiple series of the fund are described in a single statutory prospectus.[503]

The proposed rule would include additional conditions regarding the format, or formats, in which the rule 498B online fund documents would be presented on the website. First, the format must be human-readable and capable of being printed on paper in human-readable format.[504] This requirement is designed to help ensure that the information provided will be user-friendly, both online and when printed. This would impose a standard of usability on the online information that is comparable to the readability of a paper document.

Second, the format must provide persons with the ability to move back and forth within documents and between certain documents. Specifically, the format must permit persons accessing the statutory prospectus or SAI to move directly back and forth between each section heading in a table of contents of such document and the corresponding section of the document.[505] Similarly, the format must permit persons accessing the summary prospectus to move directly back and forth between: (1) each section of the summary prospectus and any section of the statutory prospectus and the SAI that provides additional detail concerning that section of the summary prospectus; or (2) links located at both the beginning and end of the summary prospectus, or that remain continuously visible to persons accessing the summary prospectus, and tables of contents of the prospectuses and the SAI.[506] These requirements are designed to result in online information that is in a better and more usable format than the

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503 *See* rule 498(a)(3) and (b)(4) under the Securities Act (collectively limiting the scope of a summary prospectus to a single fund, or series).

504 Proposed rule 498B(c)(1)(ii)(A).

505 Proposed rule 498B(c)(1)(ii)(B).

506 Proposed rule 498B(c)(1)(ii)(C).

same information when provided in paper. Being able to move directly within and between documents would be more efficient than the equivalent task in a paper document (*i.e.*, flipping through multiple pages).

Additionally, documents required to appear online would be subject to retention requirements that would require that persons accessing the rule 498B online fund documents would have to be able permanently to retain, free of charge, an electronic version of such materials in a format that is human-readable and permits persons accessing the statutory prospectus or SAI to move directly back and forth between each section heading in a table of contents and the corresponding section of the document.[507] This condition would provide shareholders with the same retention capabilities they would have with paper copies of the information, while still maintaining the technological enhancements associated with the electronic versions of the materials.

Further, there would be a safe harbor available if the rule 498B online fund documents were temporarily unavailable at the specified website, provided that the fund meets certain conditions.[508] Those conditions would be substantially similar to the conditions associated with the proposed safe harbor provision addressing the website availability of the materials that the fund files on Form N-CSR.[509] As with that safe harbor, we recognize that there may be times when, due to events beyond a fund's control, a fund may temporarily not be in

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[507] Proposed rule 498B(c)(1)(iii).

[508] Proposed rule 498B(c)(1)(iv).

[509] *See* proposed rule 30e-1(b)(2)(vi); *see supra* footnotes 479 through 481 and accompanying text.